

Anybody who reads news and is even slightly aware about the financial world needs no introduction to the impact of Bitcoin. It has created millionaires overnight and is one of the most trending searches today. But the impact of blockchain (the underlying technology behind Bitcoin) in the financial sector is much wider. If anything, Bitcoin can be considered as only the tip of the iceberg. Cognizant, the global consulting firm, reports that according to a survey of 578 financial institutions and 1520 executives, around 50% of the respondents expect the technology to transform the industry altogether.

Blockchain technology has several features that make it attractive to the financial services, it's immutable, has built in redundancies, multiple verifications through a consensus network, tamper proof, transparency etc. It can connect all the stakeholders like customers, vendors, partners, governments etc. in a transparent and real time network. This means it can be applied to a plethora of scenarios like payment systems, loan and other capital markets, fund raising, banking transactions, customer information and data management, regulatory compliance, insurance, brokerage etc.

We will look at a few critical business domains that blockchain can revolutionise (if we were to write about all the applications, we would be writing a research paper worthy of McKinsey or HBR)

Commercial banking

Bitcoin and other cryptocurrencies may be all the rage today but banks are more interested in the distributed ledger technology that blockchain offers. Leveraging this technology, banks can ease lending, asset management, registration and tracking, contract execution and improve customer service.

Smart contracts are the cornerstone of the application of blockchain in banking. Smart contracts are self executing programs that act as contracts. They self execute upon certain conditions being met. Simply put, they follow the logical reasoning of 'Perform X if Y happens'. Imagine home loan processing and repayments executed through smart contracts. With an integrated network of banks, credit score institutions, KYC and asset registry, the loan processing time could be virtually instantaneous. The network will process and verify all the details of the applicant like credit score, KYC, financial history and property ownership. The loan could be approved in real time. When the sale of property is confirmed and asset registry has been updated with change of ownership and transfer on the applicant's name, the amount could be remitted to the builder or previous